

Palantir Technologies Inc.

PLTR NYSE

Hold	\$163.86 ▲ 5.09%	12M Price Target \$175.00	52-Week Range \$106.37 – \$207.52	Market Cap \$393.77B
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PLTR: Snapping Back After AI Trade Wobble

WHAT HAPPENED

- PLTR ripped +5% today to \$163.86 on shockingly light volume (7.5M shares vs. the 175M print on Aug 4) — that tells me this is a bounce-back move, not fresh institutional buying. The stock got whacked earlier in the week when the whole AI trade wobbled (Burry's "market top" call, Cathie Wood trimming), and today it's just clawing back.
- Options flow is screaming bullish short-term — near-the-money \$157.5 and \$160 calls trading at 2x open interest. Someone's betting this bounce has legs into next week.

WHY IT MATTERS

Here's the real story: PLTR just went through a mini-panic and survived, which usually means the next leg depends on whether the broader AI trade holds up. The Barron's "AI trade is a hot mess" headline and Eisman pushing back on Burry tells you sentiment is genuinely split — that's a setup for whippy price action, not a clean trend. What this probably means: PLTR is now a proxy for AI belief. If the market decides AI capex is still real, PLTR runs to \$180+. If people start questioning the multiples, this is one of the first names to get dumped because it trades at nosebleed valuations. Watch for it to lead the sector both up and down.

POLICY & POLITICAL WATCH

The Trump administration's AI Action Plan and the ongoing defense budget expansion remain the biggest tailwinds — Palantir is essentially the default vendor for federal AI workloads (Army TITAN, ICE, HHS, IRS modernization). Watch the FY2027 defense appropriations debate this fall: if Congress locks in the elevated software/AI line items, PLTR's government book (already growing 50%+ YoY) has multi-year visibility. The wildcard is the emerging bipartisan noise around AI safety and civil-liberties oversight of federal AI systems — if that turns into actual restrictions on ICE/DHS deployments, it could dent one of Palantir's fastest-growing verticals.

IS IT EXPENSIVE?

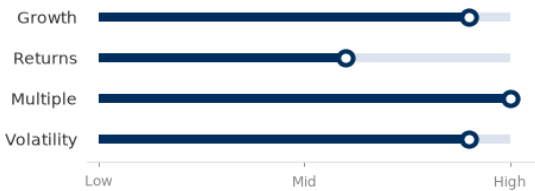
This stock is expensive on any metric you can name — trading at roughly 80x forward revenue (investors paying \$80 for every \$1 of sales next year) and ~260x forward earnings. For context, even Nvidia at its peak hype traded at ~40x sales. The only way this math works is if Palantir keeps compounding revenue at 40%+ for years AND expands margins — doable given the government pipeline, but there's zero margin for error at this price.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$163.86
12M Price Target	\$175.00
Upside / (Downside)	+6.8%
Market Cap	\$393.77B
FY2026E Revenue	\$4,800M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	264.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$185.00	\$168.00	\$140.00
6 Months	\$210.00	\$175.00	\$125.00
1 Year	\$240.00	\$180.00	\$110.00
2 Years	\$300.00	\$210.00	\$95.00
5 Years	\$450.00	\$275.00	\$80.00
10 Years	\$700.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+7% over 5 days) is still the leader — AI capex narrative intact despite this week's wobble. Consumer Discretionary and Materials firming up too, suggesting risk-on sentiment broadly.

COOLING OFF: Healthcare lagging (-0.15% today) and Real Estate flat — defensive sectors getting no love, which typically means money staying in growth/AI names.

ROTATION WATCH: Money is flowing OUT of US equity funds this week (per Reuters) ahead of jobs data — that's profit-taking, not a regime change. Global funds still seeing inflows, so this is a US-specific breather.

RELATED PLAY: If you believe the government AI thesis but hate PLTR's valuation, look at defense primes doing AI work (LMT, RTX) or the picks-and-shovels layer — ORCL's federal cloud business is a cheaper way to play the same trend.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the linchpin — every PLTR up-day correlates with NVDA strength because they share the "AI is real" trade.
- ORCL (Oracle): Winning federal cloud contracts alongside PLTR, riding the same government modernization wave at 1/10th the multiple.

PLTR CONTEXT: PLTR is the highest-beta name in the AI basket right now — it fell harder than peers earlier this week and bounced harder today. That's not leadership, that's just being the most volatile bet on the same theme. If you want AI exposure with less whiplash, PLTR isn't your best risk-adjusted pick here.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the political tailwinds, but the price already reflects a lot of good news. Not pounding the table at \$164.

POSITION SIZE: 2-3% max — the story is real but the volatility is nuts, and one bad AI-sentiment week can lop 20% off.

ENTRY POINTS: I'd rather add on pullbacks to \$140-150 than chase here. If you must own it, scale in thirds.

TIME HORIZON: 12-24 months — the government revenue ramp needs time to catch up to the multiple. Catalyst to watch: FY2027 defense appropriations and next earnings print.

WHEN TO BAIL: Government revenue growth dropping below 30% YoY, a major DoD contract loss, or the stock breaking \$125 on high volume (that would signal the AI trade is genuinely cracking).

HEDGING: If you own a full position, buying protective puts 15-20% out of the money is worth the insurance cost — think of it like paying a small premium so a bad month doesn't wreck you. Or just trim into strength above \$180.